EDMOND DE ROTHSCHILD

LUXURY SECTOR

STRUCTURED INVESTMENT ADVISORY
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EDMOND DE ROTHSCHILD, BOLD BUILDERS OF THE FUTURE.

LUXURY SECTOR

3 Group leaders

LVMH – Rating "Hold"

LVMH is launching the publication of the first quarter figures for luxury goods in full swing with sequential accelerated growth: organic growth was 11% compared to +9% in Q4 and +8 to 9% expected by the consensus. With positive currency effects of 5%, we are now at +16% when published, knowing that the basis of comparison in 2018 was already very ambitious.

RICHEMONT – Rating "Hold"

Like the entire Luxury Goods segment, the share recovered well on the back of the alleviation of fears regarding the macroeconomic situation in the Asian zone and the visible continuation of trade negotiations between the United States and China. Given its overexposure to the Chinese consumer (36% of sales), Richemont's multiples were obviously significantly revalued in 2019.

KERING

No specific recommendation by EdR equity analysts but exhibits a quintile "1" (where 1 is the best) in EdR e-quant model.

LUXURY SECTOR

24 MONTHS – EUR – WORST OF LVMH, RICHEMONT, KERING

6.7% P.A. COND. COUPON / QUARTERLY AUTOCALL / 70% STRIKE LEVEL

Investor's Profile

- Invested on the medium-term (24 months)
- Invested in **EUR** (No FX currency risk)
- Neutral or slightly positive view on the stocks

Structured Solution

- **24-month** structure in **EUR**
- Underlying: **Worst-Of:**
  - **LVMH** – EdR rating: Hold
  - **Richemont** – EdR rating: Hold
  - **Kering** – EdR e-quant quintile rating: « 1 »
- **Conditional coupon: 1.675% per quarter (6.70% p.a.)** if the 3 stocks are above the 70% coupon barrier level
- **Quarterly automatic early redemption** (% of initial level)

  End of quarter 1: **100%** / End of quarter 2: **97%**
  End of quarter 3: **94%** / End of quarter 4: **91%**
  End of quarter 5: **88%** / End of quarter 6: **85%**
  End of quarter 7: **82%**
- **Protection Level**: redemption at 100% at maturity if the underlying is at or above the strike level (70% of the initial level on trade date)

Scenario at maturity

At maturity: After 24 months (assuming no prior call)

Underlying final level > 70% of initial level (Strike level) ?		
	YES	Investor receives his initial capital and the coupon **Redemption = Capital + Coupon**
	NO	Investor receives the shares of the worst-performing stock at the Strike level (Strike 70%) ⇒ **Redemption = Shares at the Strike level**

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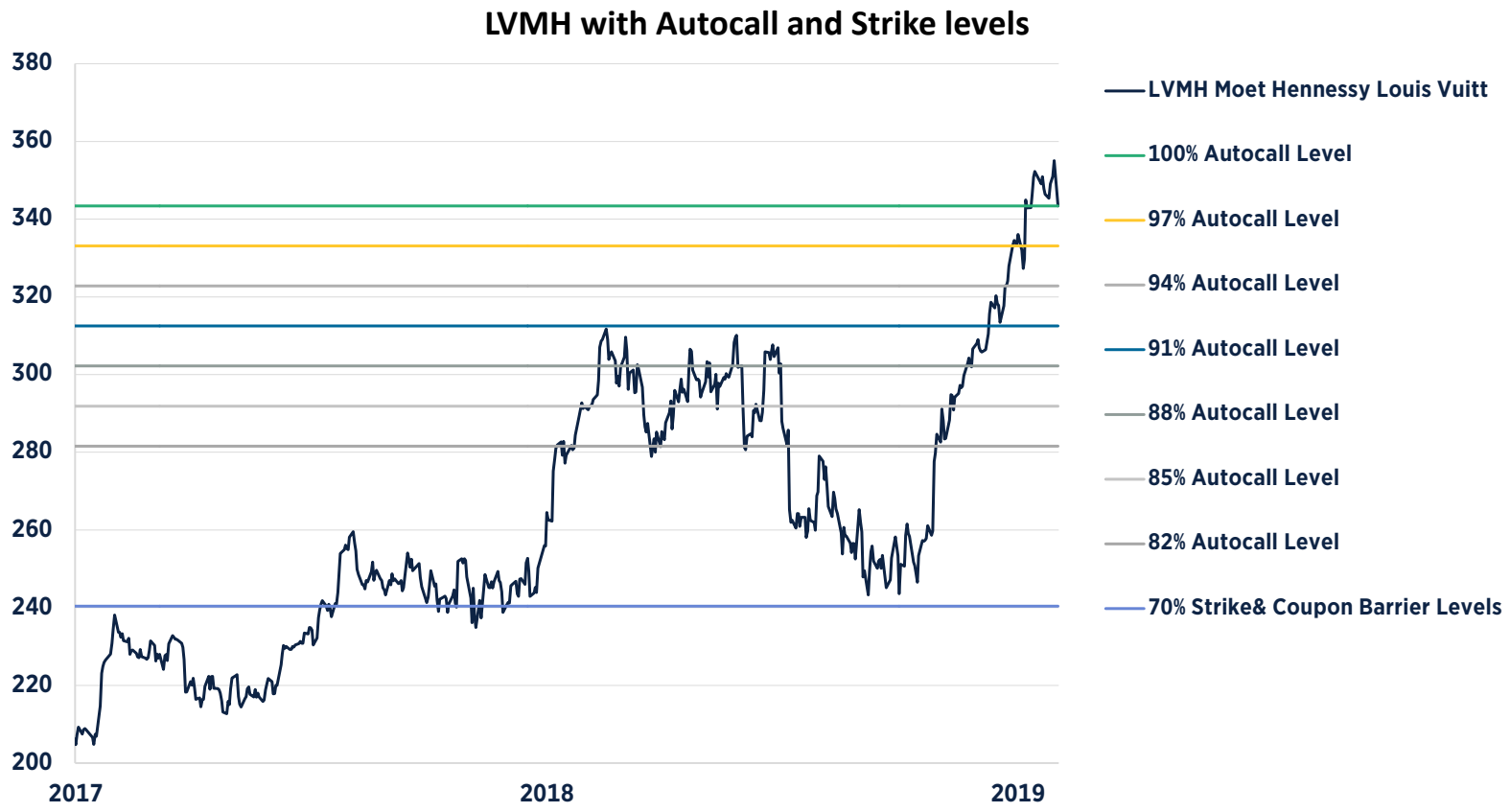
Mechanism of the Decreasing autocall illustrated below with LVMH as the wort-performing share



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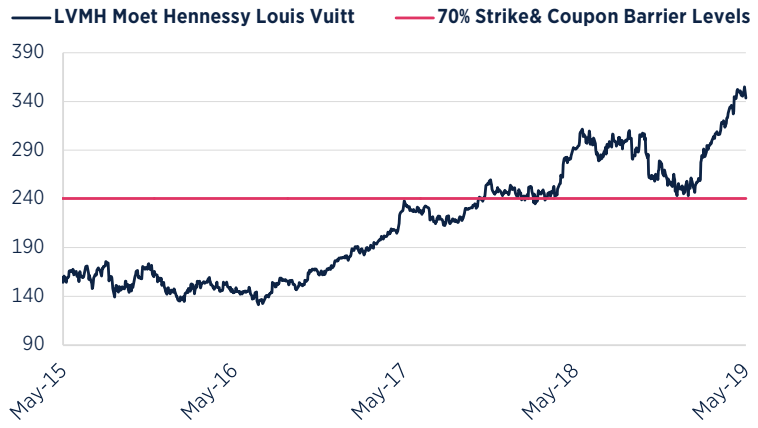
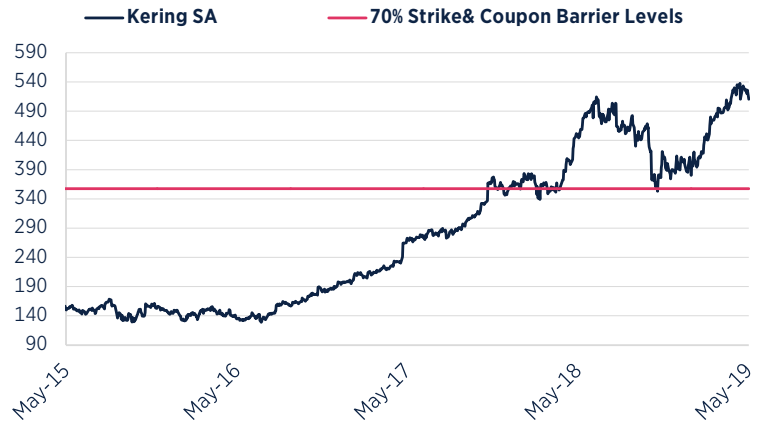
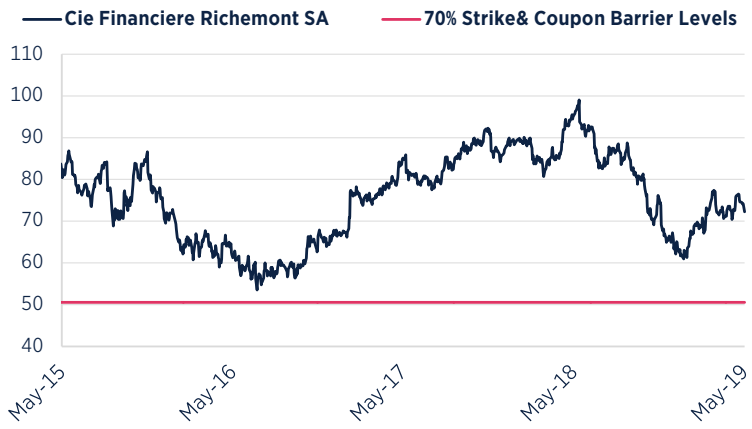
Historical Charts







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